CASE STUDY

Imagine you have been called for an interview with an auditor. The auditor shows you the following ledger account of Mr. Raheem, a dealer in food products.

Dr. **SitaA/c** **Cr.**

Date	Particulars	J.F.	Amount ₹	Date	Particulars	J.F	Amount ₹
2017				2017			
April 1	To Balance b/d		7,000	April 12	By Bank A/c		5,000
Sept. 25	To Sales A/c		10,000	May 2	By Cash A/c		2,000
Dec. 29	To Sales A/c		10,000	Oct. 3	By Sales returns A/c		1,000
				Nov. 17	By Cash A/c		3,000
				Dec. 21	By Bank A/c		4,000
				2018			
				Mar. 31	By Balance c/d		**12,000**
			27,000				27,000
2018							
Apr 1	To Balance b/d		12,000				

The auditor wants you to explain each posting in the above account and also to state where will the double entry for each posting be found.

To explore further

'**Accounts of debtors will always have debit balance**'. - *Do you agree*?

Reference

1. M C Shukla, T S Grewal and S C Gupta, Advanced Accounts, 19th ed., 2017, S.Chand Publishing, New Delhi.
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5. Fundamentals of Accounting, 2017, The Institute of Chartered Accountants of India, New Delhi.

Accountancy - Unit-04.indd 80 12/12/2021 6:14:26 PM